



Jordan's Transportation Decision: Buy, Lease, Rideshare?

Balancing Cost, Flexibility, and Long-Term Financial Goals

Case Synopsis

01

Background

27-year-old marketing analyst living in a major metro area

02

Income & savings

\$62,000 annual salary and \$8,000 in current savings

03

Commute needs

20-mile daily commute plus occasional weekend social travel

04

Current transportation

Uses rideshare and public transit but is evaluating greater flexibility through car ownership or leasing as career and lifestyle needs grow

05

Core priorities

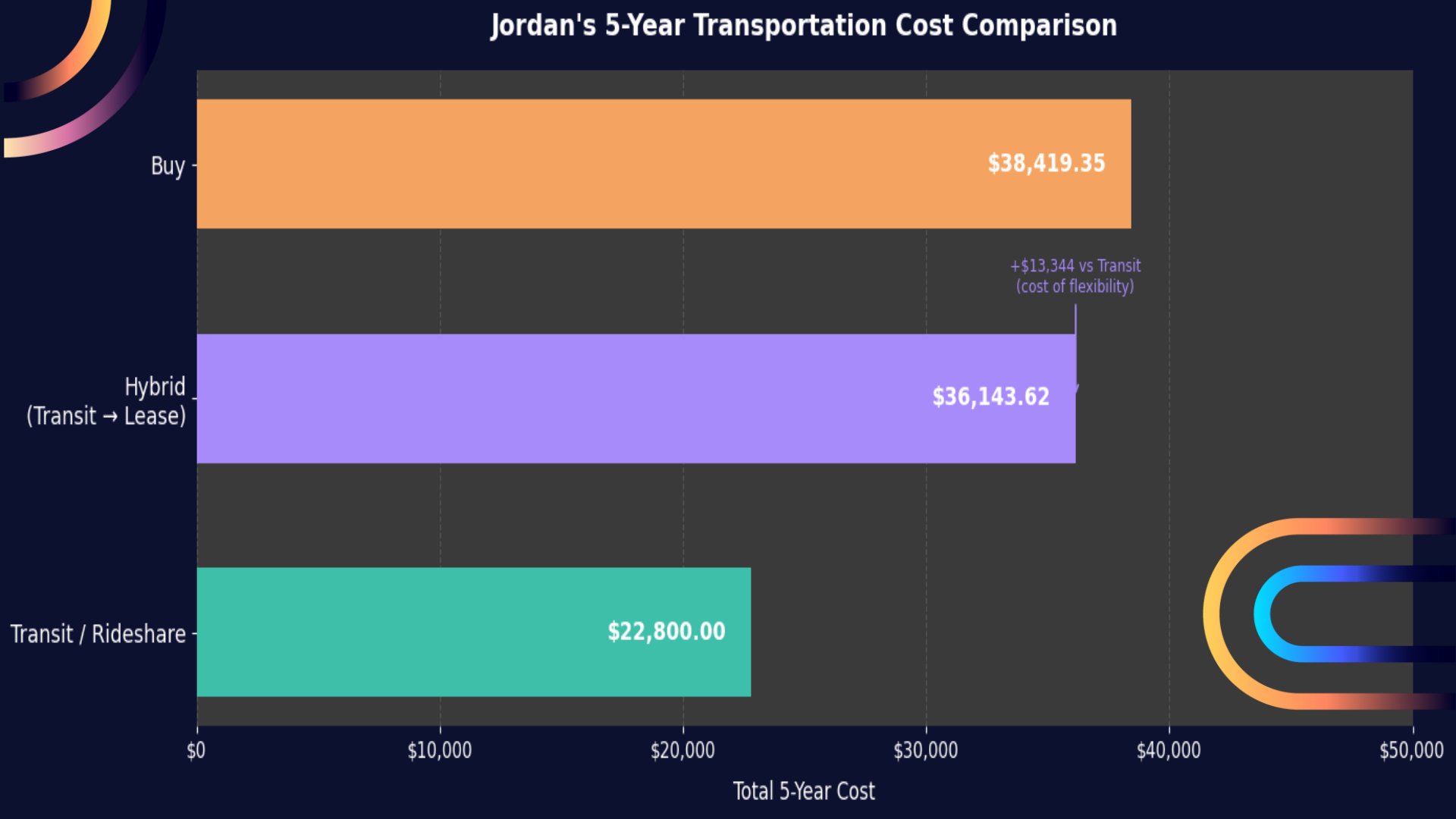
Protect cash flow, preserve liquidity, keep contributing to retirement, and save for a future home purchase

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Key trade offs

Balance convenience with cost, debt exposure, long-term wealth goals, and sustainability

Jordan's 5-Year Transportation Cost Comparison



Cost Structure

Cost Category	 Buy	 Hybrid	 Transit
Upfront Cost	\$4,000	Phase 1: \$0 Phase 2: \$2500	\$0
Monthly Payment	\$480	Phase 1: \$0 Phase 2: \$390	\$0
Insurance	\$140	Phase 1: \$0 Phase 2: \$150	\$0
Gas / Transit	\$120	Phase 1: \$380 Phase 2: \$120	\$380
Maintenance	\$500/yr	Phase 1: \$0 Phase 2: \$200/yr	\$0
Resale Value	\$13,000	\$0	\$0

Transportation Trade-Offs



BUY

Pros

- Ownership and full commuting independence
- Resale value (~\$13K after 5 years)
- Hybrid vehicle reduces emissions

Cons

- \$4,000 upfront cost
- Loan debt (60 months @ 5%)
- Higher monthly cost (~\$740)
- Reduces liquidity for home savings



HYBRID



Pros

- Lowest cost in Phase 1 (\$380/mo, years 1-2)
- Builds credit history for a mortgage
- Flexibility to own vehicle by Year 3
- Fixed costs from Year 3 onward

Cons

- Monthly costs increase in Phase 2 (\$380 to \$660/mo)
- Less flexibility in Phase 1
- Requires lease commitment starting Year 3



TRANSIT

Pros

- Lowest monthly cost (~\$380)
- No upfront cost and no debt
- Preserves liquidity for home purchase
- Most sustainable option (shared transit)

Cons

- Less convenience for a 20- mile daily commute
- Reduced independence and flexibility
- Rideshare cost may fluctuate

Financial Analysis

KPI Summary

KPI (Key Performance Indicators)					
Buy 5-Year Cost	\$	38,419.35			
Hybrid 5-Year Cost	\$	36,143.62			
Transit 5-Year Cost	\$	22,800.00			
Savings of Hybrid vs Buy	\$	2,275.73			
Savings of Transit vs Buy	\$	15,619.35			
Savings of Transit vs Hybrid	\$	13,343.62			
Buy Monthly Burden	\$	781.67			
Hybrid Monthly Burden	\$	602.39	(blended avg across both phases)		
Transit Monthly Burden	\$	380.00			
Hybrid Savings vs Buy (monthly)	\$	179.27			
Transit Savings vs Hybrid (monthly)	\$	222.39			
Transit Savings vs Buy (monthly)	\$	401.67			
Decision Matrix					
	Criteria	Buy	Lease	Transit	Hybrid
Cost		3	2	5	4
Liquidity		2	3	5	4
Flexibility		5	4	3	4
Sustainability		4	3	5	4
Home Goal Alignment		2	2	5	4
Total Score		16	14	23	20

TMV Analysis

	Raw 5 Year Total	Discounted (5% TVM)
Buy	\$ 38,419.35	\$ 34,661.64
Hybrid	\$ 36,143.62	\$ 30,825.76
Transit	\$ 22,800.00	\$ 19,742.41

Discounting at 5% reflects the opportunity cost of capital, back-loaded Hybrid costs are worth less in today's dollars

Transit Model

Year	1	2	3	4	5
Monthly Cost	\$ 380.00	\$ 380.00	\$ 380.00	\$ 380.00	\$ 380.00
Annual Transit Cost	\$ 4,560.00	\$ 4,560.00	\$ 4,560.00	\$ 4,560.00	\$ 4,560.00
Net Annual Cost	\$ 4,560.00	\$ 4,560.00	\$ 4,560.00	\$ 4,560.00	\$ 4,560.00
Total 5 Year Transit/Rideshare Cost	\$22,800.00				

Hybrid Model

	Phase 1	Phase 1	Phase 2	Phase 2	Phase 2
Year	1	2	3	4	5
Upfront Cost	\$ -	\$ -	\$ 2,500.00	\$ -	\$ -
Monthly Payments	\$ 4,560.00	\$ 4,560.00	\$ 4,680.00	\$ 4,680.00	\$ 4,680.00
Insurance	\$ -	\$ -	\$ 1,800.00	\$ 1,854.00	\$ 1,909.62
Gas	\$ -	\$ -	\$ 1,440.00	\$ 1,440.00	\$ 1,440.00
Maintenance	\$ -	\$ -	\$ 200.00	\$ 200.00	\$ 200.00
Gross Annual Cost	\$ 4,560.00	\$ 4,560.00	\$ 10,620.00	\$ 8,174.00	\$ 8,229.62
Resale Value	\$ -	\$ -	\$ -	\$ -	\$ -
Net Annual Cost	\$ 4,560.00	\$ 4,560.00	\$ 10,620.00	\$ 8,174.00	\$ 8,229.62
Total 5 year Hybrid Cost	\$36,143.62				

Buy Model

Year	1	2	3	4	5
Upfront Cost	\$ 4,000.00	\$ -	\$ -	\$ -	\$ -
Loan Payments	\$ 5,760.00	\$ 5,760.00	\$ 5,760.00	\$ 5,760.00	\$ 5,760.00
Insurance	\$ 1,680.00	\$ 1,730.40	\$ 1,782.31	\$ 1,835.78	\$ 1,890.85
Gas	\$ 1,440.00	\$ 1,440.00	\$ 1,440.00	\$ 1,440.00	\$ 1,440.00
Maintenance	\$ 500.00	\$ 500.00	\$ 500.00	\$ 500.00	\$ 500.00
Gross Annual Cost	\$ 13,380.00	\$ 9,430.40	\$ 9,482.31	\$ 9,535.78	\$ 9,590.85
Resale Value	\$ -	\$ -	\$ -	\$ -	\$ 13,000.00
Net Annual Cost	\$ 13,380.00	\$ 9,430.40	\$ 9,482.31	\$ 9,535.78	\$ (3,409.15)
Total 5 year Buy Cost	\$38,419.35				

Budget Redesign: Cash Flow, Savings, and Long-Term Financial Impact

Monthly Transportation Burden by Option



Sources: Investor.gov

Projected Annual Savings

- Hybrid saves \$2,275.73 vs Buy over 5 years
- At 5% TVM, Hybrid (\$30,826) beats Buy (\$34,662) by \$3,836

Why This Helps Jordan

- Phase 1 at \$380/mo maximizes savings during critical home purchase years
- 50% 401(k) employer match captured at lowest cost phase
- Lease in Phase 2 builds credit ahead of mortgage application
- Fixed lease costs eliminate rideshare price volatility from Year 3
- Delays largest spending to when savings cushion is strongest

Risk analysis



Risk Drivers

- $\pm 10\%$ annual rideshare cost fluctuation (tested)
- Transit service availability (qualitative)



Results

Low Case — \$35,231.62
Base Case — \$36,143.62
High Case — \$37,055.62



Decision Insight

- Hybrid total cost swings only \$1,824 from best to worst case, one of the most stable options modeled
- Lease phase locks in fixed monthly costs from Year 3, removing all variable transit risk for the final 36 months
- Even under the worst-case scenario, Hybrid still beats Buy by \$1,364 over 5 years

Recommendation

Phase 1: Transit (Years 1-2)
Phase 2: Lease (Years 3-5)

Why it wins

- ★ Beats Buy by \$2276, second-lowest 5-year cost overall
- ★ TVM at 5%: Hybrid (\$30,826) beats Buy (\$34,662) by \$3,836
- ★ Phase 1 at \$380/mo maximizes early savings velocity

Goal Alignment

- ★ Protects \$8,000 savings and 401(k) match in critical early years
- ★ 36/mo lease builds credit ahead of mortgage application
- ★ Spending aligns with how Jordan's life evolves, not just today

Strategic Fit

- ★ Transit is cheaper, but \$13,344 buys a vehicle, credit history, and flexibility
- ★ Weekend travel and career growth demand more than transit by Year 3
- ★ The only option that financially and lifestyle-wise grows with Jordan

